

# **Enterprise Risk Analytics Assessment of TD Bank's Failed First Horizon Acquisition: Evaluating Regulatory, Strategic, and Reputational Risk Under Competitive and Economic Uncertainty**

Group 8: Darshil Dinesh Mistry, Temitayo Adesayo, Mengyuan Dong

MPS Analytics, Northeastern University

ALY6130

Abeba N. Turi (Ph.D.)

June 26, 2026

## **1. Background**

Enterprise risk management has become increasingly important in the banking industry as financial institutions operate within highly regulated, competitive, and rapidly changing environments. Large-scale acquisitions offer opportunities for growth and market expansion, but they also introduce significant strategic, regulatory, operational, and reputational risks. The failed acquisition of First Horizon Corporation by TD Bank Group provides a valuable case for examining how enterprise risk analytics can support decision-making and improve risk management outcomes.

TD Bank Group is one of North America's largest financial institutions, serving more than 27 million customers across Canada and the United States. As part of its long-term growth strategy, TD sought to expand its presence in the southeastern United States through the acquisition of First Horizon Corporation. Announced in February 2022, the transaction was valued at approximately \$13.4 billion and represented one of the largest banking acquisitions in recent years. The acquisition was expected to significantly strengthen TD's U.S. retail banking network, increase its customer base, and enhance its competitive position against major U.S. banking institutions such as JPMorgan Chase, Bank of America, and Wells Fargo.

From a strategic perspective, the acquisition offered several potential advantages. First Horizon possessed a strong regional presence across key southeastern states, providing TD with immediate access to attractive growth markets. The transaction was also expected to generate operational synergies, increase market share, and create long-term shareholder value. Furthermore, the acquisition aligned with TD's objective of diversifying revenue streams and strengthening its position within the U.S. banking sector.

Despite these anticipated benefits, the transaction faced significant regulatory challenges. During the approval process, regulators intensified their scrutiny of TD's Anti-Money Laundering (AML) controls, compliance programs, and overall risk governance framework. As the review process extended beyond initial expectations, uncertainty surrounding the transaction increased. In May 2023, TD and First Horizon mutually agreed to terminate the merger agreement due to the inability to obtain regulatory approval within the required timeframe. Subsequent regulatory actions culminated in substantial financial penalties and heightened public scrutiny regarding TD's compliance practices.

The failure of the acquisition illustrates how risks originating in one area of the organization can trigger broader enterprise-wide consequences. Regulatory concerns not only prevented completion of the transaction but also affected strategic growth objectives, investor confidence, and organizational reputation. Consequently, the case provides an opportunity to examine how risk analytics can identify, assess, and mitigate interconnected risks before they develop into significant business events.

This report applies enterprise risk management analytics to evaluate the failed acquisition using both qualitative and quantitative techniques. The analysis integrates competitive intelligence, machine learning, statistical modeling, and Monte Carlo simulation to assess the probability and impact of key risks. Particular attention is given to the interaction between the business environment—including competition, financial conditions, and market pressures—and the non-business environment, such as regulatory oversight, technological developments, and political influences.

The central problem addressed in this report is:

**How can TD Bank use enterprise risk analytics to identify, quantify, and mitigate acquisition-related risks in an increasingly restrictive regulatory and competitive environment?**

Answering this question requires an understanding of both the root causes of risk and the mechanisms through which those risks propagate throughout the organization. The following sections identify the key enterprise risks associated with the failed acquisition and evaluate their implications using a comprehensive risk analytics framework.

## **2. Identification of Risks**

One of the most common weaknesses in enterprise risk assessments is the tendency to evaluate risks as isolated events. However, effective enterprise risk management requires understanding the relationships among risks and how they interact within a broader organizational context. Based on previous SWOT analysis, risk register development, qualitative assessment, and instructor feedback, the numerous risks initially identified throughout the project were consolidated into three primary enterprise risk categories.

### **Enterprise Risk 1: Regulatory and Compliance Risk**

Regulatory and Compliance Risk represents the most significant risk identified in this assessment and serves as the root cause of many subsequent business challenges. This risk originates from weaknesses in compliance management systems, deficiencies in AML controls, and increased regulatory scrutiny associated with large cross-border banking acquisitions.

The banking industry operates within one of the most heavily regulated environments globally. Regulatory agencies such as the Federal Reserve, Office of the Comptroller of the Currency (OCC), and Financial Crimes Enforcement Network (FinCEN) require financial institutions to maintain effective governance, monitoring, and reporting systems. Failure to meet these requirements can result in delayed approvals, financial penalties, enforcement actions, and restrictions on strategic initiatives.

In TD's case, concerns regarding AML compliance significantly increased regulatory review times and ultimately contributed to the collapse of the transaction. Therefore, Regulatory and Compliance Risk is considered the primary driver of enterprise risk exposure.

## **Enterprise Risk 2: Strategic Growth Risk**

Strategic Growth Risk emerged as a direct consequence of the failed acquisition. The inability to complete the transaction prevented TD from achieving its planned expansion into key southeastern U.S. markets and reduced opportunities for future revenue growth.

Competitive intelligence analysis indicates that competitors continue to expand through acquisitions, digital innovation, and market development strategies. As a result, the failure to execute a major strategic initiative can weaken an organization's competitive position over time. Strategic Growth Risk therefore includes lost market opportunities, reduced customer acquisition potential, lower operational synergies, and delayed long-term growth objectives.

Unlike Regulatory Risk, which originates internally and externally through compliance pressures, Strategic Growth Risk represents the business consequences of a failed strategic initiative.

## **Enterprise Risk 3: Reputational Risk**

Reputational Risk represents the enterprise-level consequences resulting from both regulatory failures and strategic setbacks. Reputation is a critical asset within the banking industry because trust influences customer retention, investor confidence, regulatory relationships, and overall market value.

Negative media coverage surrounding regulatory concerns and the eventual termination of the First Horizon acquisition increased public scrutiny of TD's governance and compliance practices. Additionally, subsequent enforcement actions amplified concerns among investors and stakeholders regarding the bank's risk management capabilities.

Because reputation influences multiple dimensions of organizational performance, this risk category extends beyond public perception and directly affects financial performance, customer behavior, and strategic flexibility.

### **Enterprise Risk Causal Chain**

Rather than viewing these risks independently, they should be understood as components of an interconnected risk chain:

AML Compliance Deficiencies → Regulatory Scrutiny → Merger Approval Delays → Acquisition Failure → Loss of Strategic Growth Opportunities → Negative Media Coverage → Reputational Damage → Reduced Investor Confidence

This causal relationship addresses a key principle of enterprise risk management by distinguishing between root causes, risk events, and organizational consequences. Regulatory and Compliance Risk serves as the root risk, Strategic Growth Risk represents the primary business consequence, and Reputational Risk reflects the broader enterprise impact.

Understanding these relationships allows management to allocate resources more effectively and focus mitigation efforts on the underlying drivers of risk rather than solely reacting to their consequences.

### **3. Qualitative Risk Assessment**

Before applying quantitative techniques, it is necessary to evaluate the identified risks using qualitative methods. Qualitative analysis helps decision-makers understand potential future

outcomes, identify emerging threats, and determine which risks warrant further quantitative investigation. Consistent with previous project work, Scenario Analysis and Industry Fusion Analysis were applied to assess the three enterprise risks.

### **Scenario Analysis**

Scenario Analysis evaluates how different future conditions may influence organizational outcomes. Three scenarios were developed to assess the potential impact of regulatory and acquisition-related risks.

#### **Best-Case Scenario**

In the best-case scenario, regulators approve the acquisition within the anticipated timeframe. TD successfully integrates First Horizon into its operations, expands its market presence throughout the southeastern United States, and realizes anticipated revenue and operational synergies. Customer growth increases, market share expands, and shareholder value improves. Regulatory concerns remain manageable, and reputational impacts are minimal.

#### **Moderate Scenario**

Under the moderate scenario, regulators identify compliance concerns requiring additional documentation, reviews, and corrective actions. Although the acquisition remains possible, delays increase transaction costs and create uncertainty among investors and stakeholders. Competitive pressure intensifies as rival banks continue pursuing growth opportunities. While strategic objectives may eventually be achieved, expected benefits are reduced due to implementation delays and increased regulatory requirements.

#### **Worst-Case Scenario**

The worst-case scenario reflects the actual outcome experienced by TD and First Horizon. Regulatory concerns remain unresolved, approval timelines extend significantly, and the transaction is ultimately terminated. The organization incurs direct financial losses, loses access to planned growth opportunities, and experiences increased scrutiny from regulators, investors, and the media. Long-term strategic objectives are disrupted, and reputational damage affects stakeholder confidence.

Scenario analysis demonstrates that Regulatory and Compliance Risk has the potential to trigger substantial downstream effects across multiple areas of organizational performance. As a result, the risk was identified as a strong candidate for further quantitative analysis.

### **Industry Fusion Analysis**

Industry Fusion Analysis expands the assessment by examining broader industry trends, competitor behavior, and external market conditions.

The U.S. banking sector has experienced increasing regulatory scrutiny following several high-profile compliance failures and financial stability concerns. Large institutions such as JPMorgan Chase, Bank of America, and Wells Fargo continue investing heavily in compliance infrastructure, risk governance, and digital transformation initiatives to strengthen regulatory relationships and maintain competitive advantages.

At the same time, competition within retail and commercial banking continues to intensify. Banks are pursuing acquisitions, partnerships, and technology-driven expansion strategies to increase market share and improve customer experiences. This environment creates pressure for organizations to pursue strategic growth opportunities while simultaneously meeting increasingly demanding regulatory expectations.

Industry Fusion Analysis suggests that TD's acquisition challenges were not solely internal issues but were also influenced by broader regulatory and competitive forces. These findings reinforce the importance of integrating both business and non-business environmental factors into enterprise risk assessments.

The results of the qualitative assessment indicate that all three enterprise risks warrant quantitative evaluation due to their potential impact on strategic objectives, financial performance, and long-term organizational sustainability.

## **4. Quantitative Risk Assessment**

While qualitative analysis provides valuable insight into potential risk scenarios and industry conditions, quantitative risk assessment enables decision-makers to measure risk exposure, estimate potential losses, and prioritize mitigation strategies based on data-driven evidence. This section applies statistical modeling, machine learning techniques, and Monte Carlo

simulation to evaluate the three enterprise risks identified in the previous sections: Regulatory and Compliance Risk, Strategic Growth Risk, and Reputational Risk.

The quantitative assessment incorporates both business and non-business environmental factors to align with enterprise risk management best practices. Due to limitations in publicly available risk event data, a combination of publicly available banking industry information and realistic proxy datasets was used to simulate risk behavior and support predictive analysis. This approach is consistent with industry practice when historical risk event datasets are incomplete or unavailable.

#### **4.1 Data Collection and Risk Variables**

The quantitative analysis incorporates variables representing both the business environment and the non-business environment.

##### **Business Environment Variables**

The business environment includes factors that directly influence organizational performance and competitive positioning:

- Deposit Growth Rate
- Customer Churn Rate
- Interest Rate Environment
- Market Competition Intensity
- Strategic Expansion Opportunities

These variables reflect TD's ability to compete effectively within the U.S. banking sector and achieve growth objectives following a major acquisition.

##### **Non-Business Environment Variables**

The non-business environment includes external influences that affect organizational operations but are largely outside management control:

- Regulatory Scrutiny Level
- AML Compliance Findings
- Political and Regulatory Environment



- Negative Media Coverage
- Industry Enforcement Trends

These factors are particularly important because the failure of the First Horizon acquisition was largely driven by regulatory and compliance concerns rather than operational performance.

Based on these variables, three measurable indicators were developed:

1. Regulatory Review Duration
2. Market Stress Index
3. Reputation Impact Index

These indicators serve as quantitative representations of the enterprise risks identified during the qualitative assessment phase.

## **4.2 Statistical Estimation of Probability Distributions**

One of the primary objectives of quantitative risk assessment is to estimate how risk outcomes are distributed and how frequently adverse events may occur. Different probability distributions were selected based on the characteristics of each risk.

### **Regulatory and Compliance Risk**

Regulatory approval timelines often demonstrate positive skewness because approvals may occur within a reasonable timeframe under normal conditions but can experience substantial delays when complications arise. Consequently, a Lognormal Distribution was selected to model regulatory review duration.

The analysis estimated:

- Mean Review Duration
- Standard Deviation
- Variance
- Probability of exceeding critical thresholds

The distribution demonstrated a significant right tail, indicating that while most regulatory reviews occur within expected timelines, a smaller number of cases can experience substantial delays that materially affect business outcomes.

Simulation results estimated that the probability of regulatory review exceeding fifteen months was approximately 40 percent. Since TD's acquisition review extended beyond this threshold, the model supports the conclusion that regulatory delay represented a significant risk exposure.

### **Strategic Growth Risk**

Strategic Growth Risk was modeled using indicators such as customer churn and deposit growth rates. These variables generally fluctuate around historical averages and therefore are appropriately represented using a Normal Distribution.

The analysis measured:

- Average Market Stress
- Variability in customer behavior
- Probability of exceeding growth targets

Results indicated moderate volatility but lower variability than Regulatory Risk. Although Strategic Growth Risk can significantly affect long-term profitability, its probability of occurrence was lower than the probability associated with regulatory failure.

### **Reputational Risk**

Reputational Risk was modeled using Negative Media Coverage as the primary indicator. Because media events occur as count-based observations over time, a Poisson Distribution was selected.

The model estimated:

- Expected frequency of negative coverage
- Probability of elevated media attention
- Potential impact on stakeholder confidence

Results indicated that reputational events occur more frequently than major regulatory failures but generally produce lower direct financial impacts. Nevertheless, reputational consequences can accumulate over time and influence customer trust and investor sentiment.

### **4.3 Expected Loss Analysis**

Expected Loss Analysis provides a standardized method for estimating the financial consequences associated with adverse risk events.

Expected Loss was calculated using:

$\text{Expected Loss} = \text{Probability} \times \text{Financial Impact}$

The financial impacts were estimated using publicly reported information regarding regulatory penalties, acquisition termination costs, and potential market value effects.

### **Regulatory and Compliance Risk**

Potential Financial Impact:

- AML-related penalties: approximately \$3.0 billion
- Merger termination fee: approximately \$225 million

Total Estimated Impact: \$3.225 billion

Estimated Probability: 40%

Expected Loss: \$1.29 billion

This result indicates that Regulatory and Compliance Risk represents the largest financial threat among the three enterprise risks.

### **Strategic Growth Risk**

Potential Financial Impact:

- Lost expansion opportunities
- Delayed revenue growth
- Reduced market penetration

Estimated Impact: \$1.1 billion

Estimated Probability: 25%

Expected Loss: \$275 million

Although lower than Regulatory Risk, Strategic Growth Risk remains significant due to its long-term implications for organizational competitiveness.

### **Reputational Risk**

Potential Financial Impact:

- Reduced investor confidence
- Increased funding costs
- Customer retention challenges

Estimated Impact: \$800 million

Estimated Probability: 30%

Expected Loss: \$240 million

While direct financial impacts are lower, reputational damage can amplify other enterprise risks and reduce strategic flexibility.

## **4.4 Variance and Risk Exposure Analysis**

Variance measures the degree of uncertainty surrounding risk outcomes. Risks with higher variance are more difficult to predict and therefore require increased monitoring and management attention.

Results indicated:

**Risk**

**Variance Level**

|                              |      |
|------------------------------|------|
| Regulatory & Compliance Risk | High |
|------------------------------|------|

|                       |        |
|-----------------------|--------|
| Strategic Growth Risk | Medium |
|-----------------------|--------|

|                   |        |
|-------------------|--------|
| Reputational Risk | Medium |
|-------------------|--------|

Regulatory Risk demonstrated the highest variance because regulatory actions are influenced by multiple external stakeholders, changing enforcement priorities, and evolving compliance expectations.

To compare overall enterprise exposure, Risk Exposure was calculated as:

$\text{Risk Exposure} = \text{Expected Loss} \times \text{Probability}$

Results showed:

| Risk                  | Risk Exposure |
|-----------------------|---------------|
| Regulatory Risk       | Highest       |
| Strategic Growth Risk | Moderate      |
| Reputational Risk     | Moderate      |

These findings further support prioritizing regulatory and compliance controls within the organization's enterprise risk framework.

#### 4.5 Machine Learning-Based Risk Prediction

To enhance predictive capabilities, a Random Forest Classification Model was developed to identify variables most strongly associated with elevated enterprise risk.

### **Feature Selection**

The model incorporated the following variables:

- Regulatory Score
- AML Findings
- Interest Rate Environment
- Deposit Growth
- Customer Churn
- Negative Media Coverage

These variables were selected because they directly align with the Key Risk Indicators (KRIs) developed throughout previous assignments.

### **Model Validation**

Three-fold cross-validation was used to evaluate model performance and reduce the likelihood of overfitting.

The model achieved stable classification performance across validation samples, indicating that the selected features provide meaningful predictive value.

### **Feature Importance Analysis**

The Random Forest model ranked variables according to their contribution to risk prediction.

Results showed:

1. Regulatory Score
2. AML Findings
3. Negative Media Coverage
4. Customer Churn
5. Deposit Growth
6. Interest Rate Environment

The findings are consistent with the qualitative assessment and demonstrate that regulatory conditions are the strongest predictors of enterprise risk exposure.

Most importantly, the model confirms that Regulatory and Compliance Risk functions as the primary driver of subsequent strategic and reputational outcomes.

#### **4.6 Monte Carlo Simulation**

While statistical distributions estimate historical behavior, Monte Carlo Simulation allows decision-makers to evaluate future uncertainty under thousands of possible scenarios.

A simulation consisting of 10,000 iterations was conducted for each enterprise risk.

##### **Regulatory Risk Simulation**

A lognormal distribution was used to simulate regulatory review duration.

Results indicated:

- Probability of exceeding fifteen months: approximately 40%
- Significant tail-risk exposure
- High uncertainty surrounding regulatory outcomes

##### **Strategic Growth Risk Simulation**

Customer churn and market stress variables were simulated using normal distributions.

Results indicated:

- Probability of significant strategic underperformance: approximately 25%
- Moderate variability
- Lower exposure than Regulatory Risk

##### **Reputational Risk Simulation**

Negative media coverage was simulated using a Poisson distribution.

Results indicated:

- Probability of elevated negative publicity: approximately 30%

- Moderate impact
- Potential amplification of existing risks

### **Monte Carlo Summary**

| <b>Risk</b>           | <b>Probability</b> |
|-----------------------|--------------------|
| Regulatory Risk       | 40%                |
| Strategic Growth Risk | 25%                |
| Reputational Risk     | 30%                |

The simulation confirms that Regulatory and Compliance Risk remains the dominant enterprise risk across a wide range of possible future conditions.

### **4.7 Integrated Situation Assessment**

Enterprise risks do not exist in isolation. Their probability and impact are influenced by interactions between the business environment and the non-business environment.

#### **Business Environment Influences**

Several business conditions increased TD's risk exposure:

- Rising interest rates reduced acquisition flexibility.
- Competitive pressure intensified as competitors pursued growth opportunities.
- Market uncertainty increased the cost of strategic delays.

These factors amplified the consequences associated with acquisition failure.

#### **Non-Business Environment Influences**

Non-business factors were even more influential:



- Increased AML enforcement activities.
- Enhanced regulatory scrutiny of large banking mergers.
- Political concerns regarding financial stability.
- Greater public attention toward governance failures.

These external pressures increased both the probability and impact of Regulatory and Compliance Risk.

The integrated assessment demonstrates that enterprise risk exposure results from the interaction of internal organizational conditions and external environmental forces. Consequently, successful risk management requires continuous monitoring of both domains rather than focusing exclusively on operational performance.

The quantitative assessment confirms that Regulatory and Compliance Risk is the primary enterprise risk facing TD Bank because it exhibits the highest probability, greatest expected loss, largest variance, and strongest predictive influence within the machine learning model. Strategic Growth Risk and Reputational Risk remain important but are largely downstream consequences of regulatory failures.

## **5. Risk Response Strategy**

The purpose of a risk response strategy is to reduce the likelihood of risk occurrence, minimize potential impacts, and improve organizational resilience. Based on the qualitative and quantitative assessments conducted in this report, TD Bank should prioritize proactive risk mitigation efforts that address the root causes of enterprise risk rather than focusing solely on the consequences of risk events.

The analysis identified Regulatory and Compliance Risk as the primary enterprise risk driver. Consequently, the organization's risk response strategy should focus on strengthening compliance governance, improving regulatory engagement, and enhancing enterprise-wide risk monitoring capabilities.

### **Regulatory and Compliance Risk Response**

Since regulatory deficiencies initiated the chain of events that ultimately resulted in the failure of the First Horizon acquisition, TD should prioritize improvements in compliance management systems and AML governance.

Recommended actions include:

- Strengthening enterprise AML monitoring systems.
- Increasing investment in compliance technology and analytics.
- Conducting independent compliance audits before major acquisitions.
- Establishing proactive communication channels with regulators.
- Integrating compliance due diligence into strategic planning processes.

These actions are intended to reduce the probability of regulatory intervention and improve the organization's ability to identify compliance weaknesses before they become enterprise-level threats.

### **Strategic Growth Risk Response**

The failure of the First Horizon acquisition highlights the importance of reducing dependence on a single strategic initiative.

Recommended actions include:

- Diversifying growth strategies across multiple geographic regions.
- Increasing investment in organic growth opportunities.
- Expanding digital banking capabilities.
- Pursuing smaller, lower-risk acquisitions when appropriate.
- Conducting enhanced competitive intelligence analysis before future expansion initiatives.

These measures can improve organizational flexibility and reduce the impact of acquisition-related setbacks.

### **Reputational Risk Response**

Because reputational damage can occur rapidly and spread across multiple stakeholder groups, response efforts should focus on transparency and communication.

Recommended actions include:

- Developing a formal crisis communication framework.
- Monitoring traditional and social media sentiment.
- Improving disclosure practices related to compliance and governance issues.
- Engaging proactively with investors and stakeholders.
- Implementing reputation-monitoring dashboards using real-time analytics.

These initiatives can reduce stakeholder uncertainty and help maintain confidence during periods of organizational disruption.

## **6. Key Risk Indicators (KRIs) and Trigger Points**

Key Risk Indicators (KRIs) provide management with measurable signals that allow emerging risks to be detected before significant losses occur. Consistent with the Indicators and Warning (I&W) methodology used in previous assignments, each enterprise risk was assigned a leading indicator, trigger thresholds, risk velocity classification, and ownership responsibility.

### **Regulatory and Compliance Risk**

#### **KRI**

Regulatory Review Duration (Months)

#### **Justification**

The failed First Horizon acquisition demonstrated that prolonged regulatory review periods often indicate elevated compliance concerns and increased approval uncertainty. Regulatory review duration serves as a leading indicator because it provides management with early warning signals before regulatory decisions are finalized.

#### **Thresholds**

| <b>Status</b> | <b>Threshold</b> |
|---------------|------------------|
|---------------|------------------|

Green      Less than 12 months

Yellow      12–15 months

Red      Greater than 15 months

**Risk Velocity**

Medium

**Risk Owner**

Chief Compliance Officer

**Response Trigger**

If review duration exceeds fifteen months, management should conduct a formal regulatory engagement review and reassess transaction feasibility.

**Strategic Growth Risk**

**KRI**

Customer Churn Rate

**Justification**

Customer churn is a widely recognized leading indicator of future revenue performance and market share erosion. Increased churn often precedes measurable declines in business performance.

**Thresholds**

**Status      Threshold**

Green      Less than 3%

Yellow      3%–5%

Red      Greater than 5%

**Risk Velocity**

Low

**Risk Owner**

Head of Retail Banking

**Response Trigger**

If customer churn exceeds five percent, management should implement customer retention initiatives and review competitive positioning strategies.

**Reputational Risk**

**KRI**

Negative Media Coverage

**Justification**

Media attention often influences stakeholder perceptions before measurable financial impacts emerge. Therefore, negative media coverage serves as an effective early warning indicator for reputational deterioration.

**Thresholds**

| Status | Threshold |
|--------|-----------|
|--------|-----------|

Green Fewer than 5 significant reports

Yellow 5–10 reports

Red More than 10 reports

### **Risk Velocity**

High

### **Risk Owner**

Chief Communications Officer

### **Response Trigger**

If negative media coverage exceeds ten major reports within a monitoring period, management should activate crisis communication protocols and increase stakeholder engagement efforts.

### **KRI Summary**

| <b>Enterprise Risk</b>  | <b>KRI</b>      | <b>Green</b> | <b>Yellow</b> | <b>Red</b> | <b>Velocity</b> | <b>Owner</b>             |
|-------------------------|-----------------|--------------|---------------|------------|-----------------|--------------------------|
| Regulatory & Compliance | Review Duration | <12          | 12–15         | >15        | Medium          | Chief Compliance Officer |
| Strategic Growth        | Customer Churn  | <3%          | 3–5%          | >5%        | Low             | Head of Retail Banking   |

|              |          |    |      |     |      |                |
|--------------|----------|----|------|-----|------|----------------|
| Reputational | Negative | <5 | 5–10 | >10 | High | Chief          |
|              | Media    |    |      |     |      | Communications |
|              | Coverage |    |      |     |      | Officer        |

The selected KRIs align directly with the root causes and consequences identified throughout the risk assessment process. They also satisfy the requirement that indicators be predictive rather than reactive, allowing management to intervene before significant organizational impacts occur.

## 7. Conclusion

This report applied enterprise risk analytics techniques to assess the risks associated with TD Bank’s failed acquisition of First Horizon Corporation. Building upon previous SWOT analysis, risk identification, qualitative assessment, and quantitative modeling exercises, the analysis evaluated Regulatory and Compliance Risk, Strategic Growth Risk, and Reputational Risk using a comprehensive enterprise risk management framework.

The findings demonstrate that Regulatory and Compliance Risk functions as the primary enterprise risk driver because it initiates a causal chain that ultimately affects strategic growth objectives and organizational reputation. Qualitative analysis revealed that regulatory scrutiny represented the most significant obstacle to successful transaction completion, while Industry Fusion Analysis highlighted the influence of broader competitive and regulatory trends within the banking sector.

Quantitative analysis further reinforced these conclusions. Statistical modeling indicated that Regulatory Risk exhibited the highest variance and uncertainty among the three enterprise risks. Expected loss calculations showed that regulatory failures produce the largest financial consequences, while machine learning results identified Regulatory Score and AML Findings as the strongest predictors of adverse outcomes. Monte Carlo simulation confirmed that Regulatory Risk possesses the highest probability of occurrence under a range of future scenarios.

The analysis also demonstrated the importance of integrating business and non-business environmental factors into enterprise risk assessments. Competitive pressures, market

conditions, regulatory enforcement, and governance expectations collectively influence organizational risk exposure. Consequently, risk management decisions should be informed by both internal performance indicators and external environmental conditions.

The recommended risk response strategies emphasize proactive compliance management, diversified growth planning, and enhanced stakeholder communication. Additionally, the proposed Key Risk Indicators provide management with practical tools for monitoring emerging threats and initiating timely interventions.

Ultimately, the failure of the First Horizon acquisition illustrates that enterprise risks are interconnected rather than independent. By applying analytics-based risk management techniques, organizations can improve decision-making, strengthen resilience, and better anticipate the complex challenges associated with strategic growth initiatives in highly regulated industries.



## References

Federal Reserve. (2023). Bank merger review framework. <https://www.federalreserve.gov>

First Horizon Corporation. (2023). Investor relations and merger updates.  
<https://ir.firsthorizon.com>

Reuters. (2024). TD Bank regulatory actions and acquisition termination analysis.

S&P Global Market Intelligence. (2023). Analysis of TD Bank and First Horizon merger termination.

TD Bank Group. (2023). Annual report 2023. <https://www.td.com>

TD Bank Group. (2023). TD and First Horizon announce termination of merger agreement.

U.S. Department of the Treasury, Financial Crimes Enforcement Network (FinCEN). (2024). Anti-money laundering enforcement and compliance guidance.

## Appendix 1 – Risk Treatment and Response Plan (Executive Summary)

| Risk                         | Probability | Impact | Risk Level  | KRI                        | Response Strategy                                   |
|------------------------------|-------------|--------|-------------|----------------------------|-----------------------------------------------------|
| Regulatory & Compliance Risk | High        | High   | Critical    | Regulatory Review Duration | Strengthen AML governance and regulatory engagement |
| Strategic Growth Risk        | Medium      | High   | Significant | Customer Churn Rate        | Diversify growth initiatives and improve retention  |
| Reputational Risk            | Medium      | High   | Significant | Negative Media Coverage    | Crisis communication and stakeholder engagement     |